An important example of a public good is safety. When the armed forces make us safe from war, this safety is non-rival and non-excludable. The same issue arises with safety within the country, which is produced by the justice system.

By definition, public goods are non-excludable. No private firm would produce public goods such as clean air as residents cannot be billed for the services rendered. It is not possible to exclude any person from the benefits. Excludability is essential for firms to obtain a revenue stream. Hence, we require state action to obtain tax revenues and provide the public good.

The term ‘private good’ is the opposite of ‘public good’. It does not denote ‘things that are privately produced’. For example, telecom services are a private good, whether produced by a government or by a private person.

The free market does not, on its own, solve these four kinds of problems. The interventions by the state should be primarily located around these four problems.

This classification sheds new light upon many things that we do in economic policy. As an example, healthcare is commonly seen as being the work of the government. But healthcare is a private good. The services of a doctor or a hospital are rival and excludable. When I am on a hospital bed, you cannot at the same time be on that hospital bed. We need to be more careful in understanding the market failures in the field of health, and designing optimal policy pathways for what the government should be doing in the field of health.

Market failures are readily visible in the microeconomic arena, e.g., when my loudspeakers interfere with your peace. But they are the ultimate justification for macroeconomic policy also. Large business cycle fluctuations are a reflection of the failure of the uncoordinated decisions of private persons.

When faced with a proposed state intervention, our first question should be: What is the market failure that this seeks to address? When market failure is *not* present, we should be sceptical about state intervention. This is a valuable way of drawing the line between central planning and legitimate